UK PERSONAL FINANCE · 2026/27

Money Matters cheat sheet

UK personal finance at a glance.

Every figure links to its official source, with an "as at" date.

- Income tax
- Savings
- ISAs
- Pensions
- Work and pay
- Borrowing and debt
- Scams and fraud
- Investing
- Money habits and insurance
- Bills and consumer rights
- Money basics

MoneyBySharma

Figures checked 12–17 October 2026. General information, not financial advice.

TAX & SAVINGS

Income tax and savings

Bands, allowances and protection

% Income tax (England, Wales & NI)

Personal Allowance	**£12,570 (reduced by £1 for every £2 of income over £100,000)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Basic rate 20%	**£12,571 – £50,270**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Higher rate 40%	**£50,271 – £125,140**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Additional rate 45%	**Over £125,140 (Scotland has its own bands)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)

Savings

Personal Savings Allowance	**£1,000 basic rate · £500 higher rate · £0 additional rate**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Starting rate for savings	**0% on up to £5,000, reduced £1 for £1 by other income above the Personal Allowance**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
FSCS deposit protection	**£120,000 per person, per banking licence (was £85,000 until 30 Nov 2025)**	**FSCS**, as at 1 Dec 2025
Bank Rate	**3.75% (since 18 December 2025)**	**Bank of England**, as at 9 October 2026
CPI inflation	**3.1% in the year to Aug 2026**	**ONS**, as at ONS release of 16 September 2026

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ISAS & INVESTING

ISAs and investing

Allowances, tax and protection

ISAs

ISA allowance	**£20,000 a year across all ISAs**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Cash ISA change	**From 6 April 2027, under-65s can put at most £12,000 of the £20,000 in cash ISAs**	**GOV.UK/HMRC**, as at Nov 2025 announcement
Lifetime ISA	**Open aged 18–39; up to £4,000 a year (within the £20,000) with a 25% government bonus**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Lifetime ISA withdrawals	**First home costing £450,000 or less, bought 12+ months after your first payment, or from age 60; other withdrawals face a 25% charge**	**GOV.UK**, as at 17 Oct 2026
Junior ISA	**£9,000 a year for under-18s**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)

Investing

Capital Gains Tax	**Annual exempt amount £3,000; rates 18% (basic-rate) and 24% (higher/additional-rate)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Dividends	**£500 allowance; rates 10.75% basic · 35.75% higher · 39.35% additional**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
FSCS investment protection	**Up to £85,000 per person, per firm if an authorised investment firm fails (after 1 April 2019). It does not cover falls in value**	**FSCS**, as at 17 Oct 2026

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PENSIONS & INSURANCE

Pensions and insurance

Key ages, rules of thumb and protection

Pensions

Annual allowance	**£60,000 for most people (all contributions, including employer)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Tax relief	**At your marginal rate, on contributions up to 100% of UK earnings (or £3,600 gross if little or no earnings)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Access age	**55, rising to 57 on 6 April 2028**	**HMRC Pensions Tax Manual PTM062100**, as at 12 Oct 2026
Full new State Pension	**£241.30 a week (about £12,548 a year)**	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Pension Tracing Service	**Free GOV.UK service to find a lost pension's contact details (0800 731 0175). It won't say whether you have one or its value**	**GOV.UK**, as at 17 Oct 2026

Money habits and insurance

Emergency fund	**Rule of thumb: three to six months' essential outgoings in an instant-access account**	**MoneyHelper**, as at 17 Oct 2026
Motor insurance	**Third party is the legal minimum to drive on UK roads**	**GOV.UK**, as at 17 Oct 2026
FSCS insurance protection	**100% for compulsory cover such as third-party motor; 90% for home, travel, first-party motor and others**	**FSCS**, as at 17 Oct 2026

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Work and pay

National Insurance, minimum wage and deductions

Work and pay

National Insurance (employees)	8% on pay of £242.01–£967 a week (£1,048.01–£4,189 a month); 2% above that	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Employer National Insurance	15% on pay above £96 a week (£417 a month) for most employees	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Self-employed (Class 4)	6% on profits of £12,570–£50,270; 2% above that	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Minimum wage (from 1 Apr 2026)	£12.71 aged 21+ · £10.85 aged 18–20 · £8.00 under 18 and apprentices	**GOV.UK**, as at 1 Apr 2026
Trading allowance	£1,000 a year of gross side income, one allowance across all of it; above that, register for Self Assessment	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Student loan thresholds	Plan 1 £26,900 · Plan 2 £29,385 · Plan 4 £33,795 · Plan 5 £25,000 · Postgraduate £21,000 a year. 9% of income above (6% Postgraduate)	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)
Plan 2 student loan	Started 2012–2023 (England). Interest 4.1% to 6% by income (the 6% limit is described as 'currently' in place); written off after 30 years	**GOV.UK**, as at 17 Oct 2026
Workplace pension minimum	8% of qualifying earnings (£6,240–£50,270) in total, with at least 3% from the employer	**GOV.UK**, as at 2026/27 (6 Apr 2026 – 5 Apr 2027)

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Borrowing and debt

Caps, protections and who to call

Borrowing and debt

Payday loan cap	0.8% a day of the amount borrowed (interest and fees); £15 maximum default charges; total charges capped at 100% of the amount borrowed	**FCA Handbook**, as at 17 Oct 2026
Loan sharks (report)	England 0300 555 2222 · Wales 0300 123 3311 · Scotland 0800 074 0878 · Northern Ireland (Consumerline) 0300 123 6262	**GOV.UK**, as at 17 Oct 2026
Buy now, pay later	FCA-regulated since 15 July 2026 (interest-free deferred payment credit where lender and seller are different businesses); Section 75 applies to those agreements	**FCA**, as at 17 Oct 2026
Representative APR	The rate must be available to at least 51% of people accepted; up to 49% can be offered a higher rate	**FCA Handbook glossary**, as at 17 Oct 2026
Overdrafts	One annual interest rate, no daily or monthly fees (since 6 April 2020)	**FCA**, as at 17 Oct 2026
Breathing Space (England and Wales)	Up to 60 days' legal protection from creditors, with most interest and charges frozen	**Insolvency Service (GOV.UK)**, as at 17 Oct 2026

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Bills and your rights

Prices, refunds and protections

Bills and consumer rights

Energy price cap	**£1,723 a year for a typical dual-fuel household on Direct Debit**	**Ofgem**, as at 1 Oct – 31 Dec 2026
Faulty goods	**Short-term right to reject within 30 days, for a refund**	**legislation.gov.uk**, as at 17 Oct 2026
Online, phone and mail orders	**Cancel within 14 days of receiving the item, no reason needed; a further 14 days to return it**	**GOV.UK**, as at 17 Oct 2026
Direct Debit Guarantee	**Full and immediate refund if the organisation or your bank makes an error**	**Direct Debit scheme**, as at 17 Oct 2026
Chargeback (debit cards)	**A voluntary card-scheme process, not a legal right: claim within 120 days**	**MoneyHelper**, as at 17 Oct 2026
Section 75	**Card provider jointly liable for purchases over £100 and up to £30,000 paid at least partly by credit card**	**legislation.gov.uk**, as at 12 Oct 2026
Current Account Switch Service	**Switch in 7 working days; payments redirected; refunds if the switch goes wrong**	**Current Account Switch Service**, as at 12 Oct 2026

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SCAMS & BASICS

Scams and money basics

Where to report, and a simple checklist

Scams and fraud

Call your bank safely	Hang up and dial 159, or use the number on your card	**Stop Scams UK**, as at 17 Oct 2026
Report scam texts and emails	Texts to 7726 (free); emails to report@phishing.gov.uk	**GOV.UK**, as at 17 Oct 2026
Report fraud	Report Fraud 0300 123 2040 (Scotland: 101)	**Report Fraud (police)**, as at 17 Oct 2026
Bank transfer scam refunds	Up to £85,000 a claim; report within 13 months. Under review	**Payment Systems Regulator**, as at 17 Oct 2026

Money basics checklist

- **Emergency fund** – easy-access cash for unexpected bills, built up before investing.
- **Pay off expensive debt** – credit card and overdraft interest usually costs more than savings earn.
- **Get your employer's pension match** – contributing enough to get the full employer contribution adds money you'd otherwise miss out on.
- **Use your ISAs** – interest, dividends and gains inside an ISA are tax-free.
- **Give it time** – investing is for five years or more; staying invested through ups and downs matters more than timing the market.

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